



House of Representatives

General Assembly

File No. 686

February Session, 2026

Substitute House Bill No. 5571

House of Representatives, April 20, 2026

The Committee on Finance, Revenue and Bonding reported through REP. HORN of the 64th Dist., Chairperson of the Committee on the part of the House, that the substitute bill ought to pass.

AN ACT ESTABLISHING A TAX CREDIT FOR QUALIFIED OPERATORS AND A WORKING GROUP TO EXAMINE MARKET-BASED SOURCING FOR CERTAIN INVESTMENT ASSETS INCOME AND CONCERNING THE ANGEL INVESTOR TAX CREDIT AND THE DEFINITIONS FOR CERTAIN TAX CREDITS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. (NEW) (*Effective from passage and applicable to income and*
2 *taxable years commencing on or after January 1, 2026*) (a) As used in this
3 section, "qualified operator" means a party to a facility management
4 agreement with the Capital Region Development Authority established
5 pursuant to section 32-601 of the general statutes to operate the civic
6 center and coliseum complex in the city of Hartford known as
7 PeoplesBank Arena and "qualified agreement" means an agreement
8 between a qualified operator and a state agency, as defined in section 4-
9 37e of the general statutes, in which the state agency commits to
10 schedule and host a minimum of fifteen events annually at the
11 PeoplesBank Arena for a term of not less than fifteen years and the

12 qualified operator agrees to operate and promote each such event at the
13 facility during the term of the agreement.

14 (b) For income and taxable years commencing on or after January 1,
15 2026, there shall be allowed a credit against the tax imposed by chapter
16 208, 228z or 229 of the general statutes, other than the liability imposed
17 by section 12-707 of the general statutes, for any income or taxable year
18 in which the qualified operator is a party to a qualified agreement on
19 the last day of the income or taxable year. The amount of the credit shall
20 not exceed five million dollars for any income or taxable year. The
21 aggregate amount of the credits allowed under this section shall not
22 exceed ten million dollars.

23 (c) Any qualified operator that is subject to a tax imposed under
24 chapter 208, 228z or 229 of the general statutes may apply to the
25 Department of Revenue Services, in such form and manner as
26 prescribed by the Commissioner of Revenue Services, to reserve an
27 allocation for a credit under this section. The application shall contain
28 such information as the commissioner deems necessary to verify a
29 qualified operator's eligibility for the credit under this section. If the
30 commissioner approves such application, the commissioner shall
31 provide a voucher to the qualified operator for the amount allocated.

32 (d) If the amount of the credit allowed pursuant to this section
33 exceeds the taxpayer's liability for the tax imposed under chapter 208,
34 228z or 229 of the general statutes, the Commissioner of Revenue
35 Services shall treat such excess as an overpayment and, except as
36 provided in section 12-739 or 12-742 of the general statutes, shall refund
37 the amount of such excess, without interest, to such taxpayer.

38 (e) If the taxpayer is an S corporation or an entity treated as a
39 partnership for federal income tax purposes, the credit may be claimed
40 by the taxpayer's shareholders or partners. If such taxpayer is a single
41 member limited liability company that is disregarded as an entity
42 separate from its owner, the credit may be claimed by such limited
43 liability company's owner, provided such owner is subject to the tax
44 imposed under chapter 208, 228z or 229 of the general statutes.

45 Sec. 2. (*Effective from passage*) (a) There is established a working group
46 to examine the issue of the state's application of market-based sourcing
47 to income from investment assets for financial institutions as it relates
48 to modern sourcing policy, economic competitiveness, support of in-
49 state jobs and equitable treatment of the tax base and in-state services.

50 (b) The working group shall consist of the following members or their
51 designees:

52 (1) The chairpersons of the joint standing committees of the General
53 Assembly having cognizance of matters relating to finance, revenue and
54 bonding and banking;

55 (2) The Commissioner of Revenue Services and the Banking
56 Commissioner; and

57 (3) The Secretary of the Office of Policy and Management.

58 (c) The working group may consult with any individuals or entities
59 relevant to or informative for the examination.

60 (d) The chairpersons of the joint standing committee of the General
61 Assembly having cognizance of matters relating to finance, revenue and
62 bonding shall serve as chairpersons of the working group and shall
63 schedule the first meeting of the working group, which shall be held not
64 later than sixty days after the effective date of this section.

65 (e) The administrative staff of the joint standing committee of the
66 General Assembly having cognizance of matters relating to finance,
67 revenue and bonding shall serve as administrative staff of the working
68 group.

69 (f) Not later than January 1, 2027, the working group shall submit a
70 report on its findings and recommendations to the joint standing
71 committees of the General Assembly having cognizance of matters
72 relating to finance, revenue and bonding and banking, in accordance
73 with the provisions of section 11-4a of the general statutes. The working
74 group shall terminate on the date that it submits such report or January

75 1, 2027, whichever is later.

76 Sec. 3. Section 12-704d of the general statutes is repealed and the
77 following is substituted in lieu thereof (*Effective July 1, 2026*):

78 (a) As used in this section:

79 (1) "Angel investor" means an accredited investor, as defined by the
80 Securities and Exchange Commission, or network of accredited
81 investors who review new or proposed businesses for potential
82 investment and who may seek active involvement, such as consulting
83 and mentoring, in a qualified Connecticut business or a qualified
84 cannabis business, but "angel investor" does not include (A) a person
85 controlling fifty per cent or more of the Connecticut business or cannabis
86 business invested in by the angel investor, (B) a venture capital
87 company, or (C) any bank, bank and trust company, insurance
88 company, trust company, national bank, savings association or building
89 and loan association for activities that are a part of its normal course of
90 business;

91 (2) "Cash investment" means the contribution of cash, at a risk of loss,
92 to a qualified Connecticut business or a qualified cannabis business in
93 exchange for qualified securities;

94 (3) "Connecticut business" means any business, other than a cannabis
95 business, with its principal place of business in Connecticut;

96 (4) "Related person" has the same meaning as provided in section 12-
97 217w;

98 (5) "Control" has the same meaning as provided in section 12-217w;

99 [(4)] (6) "Bioscience" means manufacturing pharmaceuticals,
100 medicines, medical equipment or medical devices and analytical
101 laboratory instruments, operating medical or diagnostic testing
102 laboratories, or conducting pure research and development in life
103 sciences;

104 [(5)] (7) "Advanced materials" means developing, formulating or
105 manufacturing advanced alloys, coatings, lubricants, refrigerants,
106 surfactants, emulsifiers or substrates;

107 [(6)] (8) "Photonics" means generation, emission, transmission,
108 modulation, signal processing, switching, amplification, detection and
109 sensing of light from ultraviolet to infrared and the manufacture,
110 research or development of opto-electronic devices, including, but not
111 limited to, lasers, masers, fiber optic devices, quantum devices,
112 holographic devices and related technologies;

113 [(7)] (9) "Information technology" means software publishing, motion
114 picture and video production, teleproduction and postproduction
115 services, telecommunications, data processing, hosting and related
116 services, custom computer programming services, computer system
117 design, computer facilities management services, other computer
118 related services and computer training;

119 [(8)] (10) "Clean technology" means the production, manufacture,
120 design, research or development of clean energy, green buildings, smart
121 grid, high-efficiency transportation vehicles and alternative fuels,
122 environmental products, environmental remediation and pollution
123 prevention;

124 [(9)] (11) "Qualified securities" means any form of equity, including a
125 general or limited partnership interest, common stock, preferred stock,
126 with or without voting rights, without regard to seniority position that
127 must be convertible into common stock;

128 [(10)] (12) "Emerging technology business" means any business that
129 is engaged in bioscience, advanced materials, photonics, information
130 technology, clean technology or any other emerging technology as
131 determined by the Commissioner of Economic and Community
132 Development;

133 [(11)] (13) "Cannabis business" means a cannabis establishment (A)
134 for which a social equity applicant has been granted a provisional

135 license or a license, (B) in which a social equity applicant or social equity
136 applicants have an ownership interest of at least sixty-five per cent, and
137 (C) such social equity applicant or social equity applicants have control
138 of such establishment;

139 [(12)] (14) "Social equity applicant" has the same meaning as provided
140 in section 21a-420;

141 [(13)] (15) "Cannabis" has the same meaning as provided in section
142 21a-420; and

143 [(14)] (16) "Cannabis establishment" has the same meaning as
144 provided in section 21a-420.

145 (b) There shall be allowed a credit against the tax imposed under this
146 chapter, other than the liability imposed by section 12-707, for a cash
147 investment by an angel investor of not less than twenty-five thousand
148 dollars in the qualified securities of a Connecticut business or a cannabis
149 business. The credit shall be in an amount equal to (1) twenty-five per
150 cent of such investor's cash investment in a Connecticut business, or (2)
151 forty per cent of such investor's cash investment in a cannabis business,
152 provided the total tax credits allowed to any angel investor shall not
153 exceed five hundred thousand dollars. The credit shall be claimed in the
154 taxable year in which such cash investment is made by the angel
155 investor. The credit may be sold, assigned or otherwise transferred, in
156 whole or in part.

157 (c) To qualify for a tax credit pursuant to this section, a cash
158 investment shall be in:

159 (1) A Connecticut business that (A) has been approved as a qualified
160 Connecticut business pursuant to subsection (d) of this section; (B) had
161 annual gross revenues of less than one million dollars in the most recent
162 income year of such business; (C) has fewer than twenty-five employees,
163 not less than [seventy-five] fifty per cent of whom reside in this state;
164 (D) has been operating in this state for less than seven consecutive years;
165 (E) is primarily owned by the management of the business and their

166 families; and (F) received less than two million dollars in cash
167 investments eligible for the tax credits provided by this section; or

168 (2) A cannabis business that (A) has been approved as a qualified
169 cannabis business pursuant to subsection (d) of this section; (B) had
170 annual gross revenues of less than one million dollars in the most recent
171 income year of such business; (C) has fewer than twenty-five employees,
172 not less than seventy-five per cent of whom reside in this state; (D) is
173 primarily owned by the management of the business and their families;
174 and (E) received less than two million dollars in cash investments
175 eligible for the tax credits provided by this section.

176 (d) (1) A Connecticut business or a cannabis business may apply to
177 Connecticut Innovations, Incorporated, for approval as a Connecticut
178 business or cannabis business, as applicable, qualified to receive cash
179 investments eligible for a tax credit pursuant to this section, provided
180 on and after July 1, 2026, separate applications from a Connecticut
181 business and related persons thereto shall be considered a single
182 application for a Connecticut business for purposes of this section. The
183 application shall include (A) the name of the business and a copy of the
184 organizational documents of such business, (B) a business plan,
185 including a description of the business and the management, product,
186 market and financial plan of the business, (C) a description of the
187 business's innovative technology, product or service, (D) a statement of
188 the potential economic impact of the business, including the number,
189 location and types of jobs expected to be created, (E) a description of the
190 qualified securities to be issued and the amount of cash investment
191 sought by the business, (F) a statement of the amount, timing and
192 projected use of the proceeds to be raised from the proposed sale of
193 qualified securities, and (G) such other information as the chief
194 executive officer of Connecticut Innovations, Incorporated, may require.

195 (2) Said chief executive officer shall, on a monthly basis, compile a list
196 of approved applications, categorized by the cash investments being
197 sought by the qualified Connecticut business or the qualified cannabis
198 business and type of qualified securities offered.

199 (e) (1) Any angel investor that intends to make a cash investment in
200 a business on such list may apply to Connecticut Innovations,
201 Incorporated, to reserve a tax credit in the amount indicated by such
202 investor. Connecticut Innovations, Incorporated, shall not reserve tax
203 credits under this section for any investments made in a qualified
204 Connecticut business on or after July 1, 2028, or for any investments
205 made in a qualified cannabis business on or after July 1, 2023.

206 (2) The aggregate amount of all tax credits under this section that may
207 be reserved by Connecticut Innovations, Incorporated, shall not exceed
208 (A) for cash investments made in qualified Connecticut businesses, six
209 million dollars annually for the fiscal years commencing July 1, 2010, to
210 July 1, 2012, inclusive, and five million dollars for each fiscal year
211 thereafter, and (B) for cash investments made in qualified cannabis
212 businesses, fifteen million dollars annually for the fiscal years
213 commencing July 1, 2021, and July 1, 2022.

214 (3) With respect to the tax credits available under this section for
215 investments in qualified Connecticut businesses, Connecticut
216 Innovations, Incorporated, shall not reserve more than seventy-five per
217 cent of such tax credits for investments in emerging technology
218 businesses, except if any such credits remain available for reservation
219 after April first in any fiscal year, such remaining credits may be
220 reserved for investments in such businesses and may be prioritized for
221 veteran-owned, women-owned or minority-owned businesses and
222 businesses owned by individuals with disabilities.

223 (4) The amount of the credit allowed to any investor pursuant to this
224 section shall not exceed the amount of tax due from such investor under
225 this chapter, other than section 12-707, with respect to such taxable year.
226 Any tax credit that is claimed by the angel investor but not applied
227 against the tax due under this chapter, other than the liability imposed
228 under section 12-707, may be carried forward for the five immediately
229 succeeding taxable years until the full credit has been applied.

230 (f) If the angel investor is an S corporation or an entity treated as a
231 partnership for federal income tax purposes, the tax credit may be

232 claimed by the shareholders or partners of the angel investor. If the
233 angel investor is a single member limited liability company that is
234 disregarded as an entity separate from its owner, the tax credit may be
235 claimed by such limited liability company's owner, provided such
236 owner is a person subject to the tax imposed under this chapter.

237 (g) A review of the cumulative effectiveness of the credit under this
238 section shall be conducted by Connecticut Innovations, Incorporated, by
239 July first annually. Such review shall include, but need not be limited to,
240 the number and type of Connecticut businesses and cannabis businesses
241 that received angel investments, the number of angel investors and the
242 aggregate amount of cash investments, the current status of each
243 Connecticut business and cannabis business that received angel
244 investments, the number of employees employed in each year following
245 the year in which such Connecticut business or cannabis business
246 received the angel investment and the economic impact in the state of
247 the Connecticut business or cannabis business that received the angel
248 investment. Such review shall be submitted to the Office of Policy and
249 Management and to the joint standing committee of the General
250 Assembly having cognizance of matters relating to commerce, in
251 accordance with the provisions of section 11-4a.

252 Sec. 4. Subdivision (1) of subsection (a) of section 12-217j of the 2026
253 supplement to the general statutes is repealed and the following is
254 substituted in lieu thereof (*Effective October 1, 2026*):

255 (a) (1) There shall be allowed as a credit against the tax imposed on
256 any taxpayer under this chapter, with respect to income years of such
257 taxpayer commencing on or after January 1, 1994, an amount equal to
258 twenty per cent of the amount spent by such taxpayer directly on
259 research and experimental expenditures, as [defined in Section 174 of
260 the Internal Revenue Code of 1986, or any subsequent corresponding
261 internal revenue code of the United States, as from time to time
262 amended, which] described in subdivision (1) of subsection (b) of
263 section 12-217n, that are conducted in this state and [which] that exceeds
264 the amount spent by such taxpayer during the preceding income year

265 of such taxpayer for such expenditures.

266 Sec. 5. Subsection (a) of section 12-217vv of the 2026 supplement to
267 the general statutes is repealed and the following is substituted in lieu
268 thereof (*Effective from passage and applicable to income and taxable years*
269 *commencing on or after January 1, 2026*):

270 (a) As used in this section:

271 (1) "Eligible farmer" means a taxpayer in this state whose federal
272 gross income from farming for the income or taxable year is (A) at least
273 two-thirds of excess federal gross income, or (B) not less than two
274 hundred fifty thousand dollars;

275 (2) "Excess federal gross income" means the amount of federal gross
276 income from all sources for the income or taxable year in excess of thirty
277 thousand dollars;

278 (3) "Agricultural production" has the same meaning as provided in
279 subdivision (63) of section 12-412;

280 (4) "Farm investment property" means machinery and equipment
281 that are acquired by purchase by an eligible farmer on or after January
282 1, 2026, and buildings and structural components of buildings that are
283 acquired, constructed, reconstructed or erected by an eligible farmer
284 and placed in service on or after January 1, 2026, and (A) are situated in
285 this state, (B) have a class life of more than four years, as described in
286 Section 168(e) of the Internal Revenue Code of 1986, or any subsequent
287 corresponding internal revenue code of the United States, as amended
288 from time to time, (C) are acquired by an eligible farmer from a person
289 other than a related person, (D) are not acquired to be leased, and are
290 not leased, to another person or persons during the twelve full months
291 following their acquisition or placement in service, and (E) will be held
292 and used in this state by the eligible farmer in the ordinary course of
293 agricultural production for not less than five full years following the
294 date of acquisition of such machinery and equipment or the date of
295 placement in service of such buildings;

296 (5) "Related person" means (A) a corporation, limited liability
 297 company, partnership, association or trust controlled by the taxpayer,
 298 (B) an individual, corporation, limited liability company, partnership,
 299 association or trust that is in control of the taxpayer, (C) a corporation,
 300 limited liability company, partnership, association or trust controlled by
 301 an individual, corporation, limited liability company, partnership,
 302 association or trust that is in control of the taxpayer, or (D) a member of
 303 the same controlled group as the taxpayer; and

304 (6) "Control" means (A) with respect to a corporation, ownership,
 305 directly or indirectly, of stock possessing fifty per cent or more of the
 306 total combined voting power of all classes of the stock of such
 307 corporation entitled to vote, or (B) with respect to a trust, ownership,
 308 directly or indirectly, of fifty per cent or more of the beneficial interest
 309 in the principal or income of such trust. The ownership (i) of stock in a
 310 corporation, (ii) of a capital or profits interest in a partnership or
 311 association, or (iii) of a beneficial interest in a trust shall be determined
 312 in accordance with the rules for constructive ownership of stock
 313 provided in Section 267(c) of the Internal Revenue Code of 1986, or any
 314 subsequent corresponding internal revenue code of the United States,
 315 as amended from time to time, other than paragraph (3) of said section.

316 Sec. 6. Section 12-217ww of the 2026 supplement to the general
 317 statutes is repealed. (*Effective from passage*)

This act shall take effect as follows and shall amend the following sections:		
Section 1	<i>from passage and applicable to income and taxable years commencing on or after January 1, 2026</i>	New section
Sec. 2	<i>from passage</i>	New section
Sec. 3	<i>July 1, 2026</i>	12-704d
Sec. 4	<i>October 1, 2026</i>	12-217j(a)(1)

Sec. 5	<i>from passage and applicable to income and taxable years commencing on or after January 1, 2026</i>	12-217vv(a)
Sec. 6	<i>from passage</i>	Repealer section

Statement of Legislative Commissioners:

In Section 1(b), "years" was changed to "dollars" for accuracy. In Section 3(d)(1), "any application" was changed to "separate applications" and "single Connecticut business" was changed to "single application for a Connecticut business" for clarity, and Section 4 was redrafted for accuracy.

FIN *Joint Favorable Subst. -LCO*

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact:

Agency Affected	Fund-Effect	FY 27 \$	FY 28 \$
Revenue Serv., Dept.	GF - Potential Revenue Loss	Up to 5 million	Up to 5 million

Note: GF=General Fund

Municipal Impact: None

Explanation

The bill results in the following fiscal impacts:

Section 1, which establishes a refundable tax credit for the PeoplesBank Arena's facility management company under certain circumstances, results in a potential General Fund revenue loss of up to \$5 million in FY 27 and FY 28. The overall amount of credits allowed is capped at \$10 million in aggregate; thus, the revenue loss could extend to FY 29 and beyond to the extent less than \$5 million in credits are allowed in each of FY 27 and FY 28.

Section 2 establishes a working group to study certain aspects of market-based sourcing. This does not result in any fiscal impact.

Section 3 adjusts the angel investor tax credit program. This does not result in any fiscal impact as the program is subject to an aggregate annual cap of \$5 million and currently reaches that cap (which is unchanged in the bill).

Sections 4 & 6 make technical adjustments that do not result in any fiscal impact.

Section 5 makes a clarifying change to the farm investment tax credit

program which is not anticipated to result in any fiscal impact.

The Out Years

The revenue impact identified in **section 1** above would continue until the full \$10 million tax credit allocation is exhausted.

OLR Bill Analysis**sHB 5571*****AN ACT ESTABLISHING A TAX CREDIT FOR QUALIFIED OPERATORS AND A WORKING GROUP TO EXAMINE MARKET-BASED SOURCING FOR CERTAIN INVESTMENT ASSETS INCOME AND CONCERNING THE ANGEL INVESTOR TAX CREDIT AND THE DEFINITIONS FOR CERTAIN TAX CREDITS.*****SUMMARY**

This bill makes various unrelated changes regarding state tax credits and establishes a working group on market-based sourcing. Generally, it does the following:

1. creates a refundable tax credit under which, generally, the PeoplesBank Arena's facility management company may qualify if it contracts with a state agency, such as UConn, to host at least 15 events each year at the arena for at least 15 years (§ 1);
2. sets up a working group to examine how Connecticut applies market-based sourcing to income from financial institutions' investment assets (§ 2);
3. modifies requirements for businesses to qualify for tax credits under the angel investor tax credit program, including reducing the minimum percentage of a business's employees that must live in Connecticut (§ 3);
4. changes the scope of the research and experimental (R&E) expenditures tax credit program by redefining which expenditures qualify (§ 4);
5. expands eligibility for a farm investment tax credit program to include Connecticut taxpayers whose annual income from farming is at least \$250,000 (§ 5); and

6. repeals a second, substantially similar farm investment tax credit program that applies to a broader range of agricultural production (§ 6).

The bill also makes technical and conforming changes.

EFFECTIVE DATE: Various, see below.

§ 1 — PEOPLESBANK ARENA REFUNDABLE BUSINESS TAX CREDIT

The bill establishes a refundable tax credit for a “qualified operator,” which it defines as a party to a facility management agreement with the Capital Region Development Authority to operate the civic center and coliseum complex in Hartford known as PeoplesBank Arena.

The credit is available starting with the 2026 income and tax year and requires the qualified operator to be a party to a qualified agreement on the last day of the income or tax year a credit is claimed. Under the bill, a “qualified agreement” is an agreement between a qualified operator and a state agency in which the (1) state agency commits to schedule and host at least 15 events annually at the PeoplesBank Arena for at least 15 years and (2) qualified operator agrees to operate and promote each of those events at the facility during the agreement’s term. By law, and under the bill, a “state agency” is each state board, authority, commission, department, office, institution, council, or other agency of the state, including each constituent unit and each public institution of higher education.

The credit equals up to \$5 million for the income or tax year, as applicable, and can be applied against the corporation business, pass-through entity, or personal income tax, but not the withholding tax. The bill caps the total credits allowed under the program at \$10 million.

Under the bill, the qualified operator may apply to the Department of Revenue Services (DRS) to reserve a credit allocation. The DRS commissioner must prescribe the application, which must contain the information he deems necessary to verify the qualified operator’s

eligibility for the credit. Once verified, the commissioner must issue the qualified operator a voucher for its credit amount.

If the qualified operator is an S corporation or treated as a partnership for federal income tax purposes, the qualified operator's shareholders and partners may claim the credit. If the qualified operator is a single member limited liability company (LLC) that is disregarded as an entity separate from its owner, the LLC's owner may claim the credit, as long as the owner is subject to either the corporation business, pass-through entity, or personal income tax.

The bill requires the DRS commissioner to refund, without interest, any amount of the tax credit that exceeds a qualified operator's liability, unless he retains the refund, which, by law, he may do if the qualified operator (1) owes state or municipal taxes or other obligations or (2) is in default of a student loan made by the Connecticut Student Loan Foundation or the Connecticut Higher Education Supplemental Loan Authority.

EFFECTIVE DATE: Upon passage, and applicable to income and tax years beginning on or after January 1, 2026.

§ 2 — MARKET-BASED SOURCING AND FINANCIAL INSTITUTIONS WORKING GROUP

The bill creates a working group to examine how Connecticut applies market-based sourcing to income from financial institutions' investment assets, as it relates to modern sourcing policy, economic competitiveness, supporting in-state jobs, and ensuring equitable treatment of the tax base and in-state services. (Generally, under market-based sourcing rules, businesses assign transactions involving services or intangible property based on where their customers are located or receive the service or property, instead of where the transaction was performed. The "assigned" location affects the taxes that apply to the transaction.)

The working group consists of the (1) chairs for the Banking and Finance, Revenue and Bonding committees, (2) DRS and banking

commissioners, and (3) Office of Policy and Management secretary. It may consult with any individuals or entities relevant to or informative for the examination.

The bill requires the Finance, Revenue and Bonding Committee chairs and administrative staff to serve in the same capacities for the working group. It also requires the chairs to schedule the working group's first meeting, which must be held within 60 days after the bill's passage.

The working group must submit a report with its findings and recommendations to the Banking and Finance, Revenue and Bonding committees by January 1, 2027, and ends on that date or when it submits its report, whichever is later.

EFFECTIVE DATE: Upon passage

§ 3 — ANGEL INVESTOR TAX CREDIT PROGRAM CHANGES

The bill makes changes to the angel investor tax credit program, which, generally, allows angel investors who make cash investments of at least \$25,000 in the qualified securities of certain Connecticut businesses to be eligible for a personal income tax credit equal to 25% of their investment. By law, an "angel investor" is generally an investor whom the Securities and Exchange Commission considers to be an accredited investor and a "Connecticut business" is any business, other than a cannabis business, whose principal place of business is in Connecticut.

To qualify for the tax credit, existing law requires the investments to be in Connecticut businesses that meet several criteria, including that the business:

1. applied for and received approval from Connecticut Innovations, Inc. (CI) to get credit-eligible investments;
2. had gross revenues of less than \$1 million in the most recent income year;

3. has less than 25 employees;
4. has been operating in Connecticut for fewer than seven consecutive years;
5. is primarily owned by the management of the business and their families; and
6. received less than \$2 million in investments from credit-eligible angel investors.

Current law additionally requires that 75% of the business's employees live in Connecticut. The bill reduces this percentage to 50% and, beginning July 1, 2026, requires applications to CI from a business and a related person to be treated as a single Connecticut business under the program.

Existing law and the bill define "related person" in relation to a corporation claiming a credit as:

1. a corporation, partnership, association, or trust controlled by that corporation;
2. an individual, corporation, partnership, association, or trust that is in control of that corporation;
3. a corporation, partnership, association, or trust controlled by an individual, corporation, partnership, association, or trust that is in control of that corporation; or
4. a member of the same controlled group as that corporation.

For the purposes of the "related person" definition and the angel investor tax credit program, the bill adds a definition for "control," which is (1) for corporations, direct or indirect ownership of stock possessing at least 50% of the total combined voting power of all classes of the stock of the corporation entitled to vote and (2) for trusts, direct or indirect ownership of at least 50% of the beneficial interest in the principal or income of the trust. For determining the ownership of a

corporation's stock, partnership's or association's capital or profits, or trust's beneficial interest, the definition generally requires:

1. direct or indirect ownership of these assets by or for a corporation, partnership, estate, or trust is considered to be owned proportionately by or for its shareholders, partners, or beneficiaries;
2. an individual is considered as owning the asset, directly or indirectly, by or for his or her family; and
3. the family of an individual includes only his or her brothers and sisters (full and half siblings), spouse, ancestors, and lineal descendants.

EFFECTIVE DATE: July 1, 2026

§ 4 — RESEARCH AND EXPERIMENTAL EXPENDITURES TAX CREDIT CHANGES

The bill changes what is an R&E expenditure for the purposes of the R&E tax credit program. By law, the program gives qualifying businesses a credit against the corporation business tax equal to 20% of the amount they spent on R&E conducted in Connecticut over and above the amount they spent during the prior year.

Under current law, "research and experimental expenditures" generally are (1) expenses a business incurs in connection with its trade or business that represent research and development (R&D) costs in the experimental or laboratory sense; (2) costs related to developing or improving a product, including any pilot model, process, formula, invention, technique, patent, or similar property; and (3) costs of getting a patent. They do not include expenditures for (1) quality control testing; (2) advertising or promotions; (3) consumer or efficiency surveys; (4) management studies; (5) research connected with literary, historical, or similar projects; or (6) acquiring another business' patent, model, production, or process (26 C.F.R. § 1.174-2).

The bill replaces this definition with the one for research and

development expenses under existing law for the R&D tax credit program. Generally, “research and development expenses” are (1) research or experimental expenditures federally-deductible under the applicable federal law as it was written on May 28, 1993, and determined without regard to the federal credit for increasing research activities and (2) qualifying “basic research payments” (for example, payments a business makes to qualifying nonprofit educational institutions, scientific research organizations, or grant organizations). In both cases, the expenditures or payments must (1) be paid or incurred by the business for research and experimentation and basic research done in Connecticut and (2) not be funded by any grant or contract with a public or private entity, unless the entity is included in a combined return with the business paying or incurring the expenses. Expenditures under this definition generally include and exclude the same ones the “research and experimental expenditures” definition above does.

EFFECTIVE DATE: October 1, 2026

§§ 5 & 6 — CHANGES TO FARM INVESTMENT TAX CREDIT PROGRAMS

PA 25-168 and PA 25-152 created substantially similar refundable corporate and income tax credit programs for farmers’ investments in eligible machinery, equipment, and buildings for use in specific types of agricultural production. By comparison, the program under PA 25-152 applies to a broader range of agricultural production by including the production of (1) wine under a farm winery license, (2) Christmas trees, and (3) apple juice and cider under both an apple juice and cider manufacturing permit and farmer tax exemption permit.

The bill eliminates PA 25-152’s program and modifies the program created under PA 25-168. Specifically, it expands who qualifies as an eligible farmer to include Connecticut taxpayers whose federal gross income from farming for the income or tax year is at least \$250,000. Under existing law, Connecticut taxpayers can qualify if their federal gross income from farming for the income or tax year is at least two-thirds of their federal gross income from all sources over \$30,000.

EFFECTIVE DATE: Upon passage, and, for the continuing program, applicable to income and tax years beginning on or after January 1, 2026.

COMMITTEE ACTION

Finance, Revenue and Bonding Committee

Joint Favorable

Yea 47 Nay 7 (03/31/2026)